

# Rental Reimbursement and Loss of Use Claims Guide

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## Rental Reimbursement and Loss of Use Claims Guide

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**Audience:** Claims adjusters

**Effective:** June 1, 2025

\*This guide expands on the Rental Reimbursement endorsement (Policy Wording Part D references and the standalone Rental Reimbursement Coverage endorsement, END-RR-01) with claims-handling detail not repeated in the endorsement text itself.\*

### 1. What Rental Reimbursement Covers

Rental reimbursement pays a daily benefit, up to the per-day and per-occurrence limits shown on the Declarations page, toward the cost of a temporary replacement vehicle while the policyholder's covered auto is out of service due to a loss covered under Part D (Collision) or Part C (Other Than Collision). It does not cover the rental itself if the underlying loss is not covered — a denied Part D claim carries a denied rental reimbursement claim with it, since the benefit is derivative of the underlying coverage determination.

### 2. Eligibility Trigger

The benefit begins to accrue from the date the covered auto is withdrawn from use for repair or is confirmed a total loss, not from the date of the accident itself if there is a gap (for example, the policyholder continued driving a driveable-but-damaged vehicle for several days before bringing it in for repair). The adjuster documents both the loss date and the withdrawal-from-use date separately in the claim file.

### 3. Duration for a Repairable Vehicle

For a repairable vehicle, the benefit runs from withdrawal-from-use until the earlier of: the repair shop's documented completion date, or the per-occurrence limit being reached. An adjuster monitoring an unusually long repair (relative to the

original estimate's stated cycle time) follows up with the shop directly rather than simply continuing to authorize rental days without inquiry, consistent with the reasonableness expectations in the Vendor and Repair Network Management Guide, Section 3.

#### **4. Duration for a Total Loss**

For a vehicle determined to be a total loss under the Total Loss Valuation Methodology, the rental benefit runs from withdrawal-from-use until the earlier of the total loss settlement being tendered to the policyholder, or the per-occurrence limit. A policyholder is not entitled to open-ended rental coverage while shopping for a replacement vehicle after settlement has been tendered — the benefit's purpose is to bridge the repair or settlement period, not to fund transportation indefinitely.

#### **5. Rental Vehicle Class**

The endorsement does not restrict the class of substitute vehicle beyond the daily dollar cap itself; a policyholder may rent a vehicle costing more than the daily benefit and pay the difference out of pocket. The benefit is a fixed reimbursement amount, not a guarantee of a specific vehicle class.

#### **6. Interaction with a Rental Car from a At-Fault Third Party's Insurer**

Where liability is clearly attributable to an identified third party and that party's insurer has already provided a rental vehicle directly, Meridian Mutual's own rental reimbursement benefit is not additionally payable for the same period — the policyholder cannot receive a duplicate benefit for the same days. This does not affect the third-party liability claim itself, which proceeds independently.

#### **7. No Rental Reimbursement Purchased**

Where the Declarations page shows no Rental Reimbursement coverage selected, no benefit is payable regardless of the underlying loss being covered — this is a purchased add-on, not a default component of Part D or Part C, and the absence of the endorsement number on the Declarations page is itself sufficient basis for denial of this specific benefit (while the underlying vehicle-damage claim proceeds normally).

## 8. Documentation Standard

A rental reimbursement payout is documented with: the withdrawal-from-use date, the repair-completion or settlement-tender date, the number of days claimed, the daily and per-occurrence limits from the Declarations page, and the computed reimbursement amount produced by the deterministic calculation service — never a manually estimated figure, consistent with the corpus-wide rule that no payout figure is computed by narrative judgment.